AlphaStock

Platform Overview — a plain-language guide for market professionals

This guide explains, in everyday language, what every part of the AlphaStock terminal does and how to read it. It assumes you know markets — but **not** computers or statistics. Wherever we use a technical word, we explain it the first time.

One promise up front: this is a research tool, not a crystal ball and not financial advice. The honest limits are spelled out on the last page — please read them.

1. What AlphaStock is, in one breath

AlphaStock is a research terminal for the **NIFTY-50** stocks. Every day it gives you a view on where each stock is likely headed, how confident it is in that view, how much you could lose if it's wrong, and the reasons behind the call. Prices update live during market hours.

Think of it as a tireless junior analyst that has carefully read about **18 years of price action** for all 50 stocks, never gets tired, never gets emotional, and shows its working every time.

2. The “model” in plain words (no tech background needed)

Throughout the app you'll see the words **model** or **AI**. All that means here is a **pattern-finder**. We took 18 years of data for every Nifty-50 stock — price moves, momentum, volatility, volume, how the sector behaved, how the wider market behaved, and so on — and we asked a computer program one question, millions of times over:

“Every time conditions looked like this in the past, what usually happened next?”

It measured the answer and now applies those lessons to today's market. It is **disciplined history, measured** — not news, not opinion, not gut feel.

The honesty that matters most

Short-term stock direction is **mostly noise**. A genuinely good model is right maybe **53–57%** of the time — not 90%. That small edge is real, but it works the way a casino's edge works: only through discipline and many bets, never through one heroic call. Anyone promising 90% is selling you something.

3. The universe: NIFTY 50

The platform covers the 50 large companies in the NSE Nifty-50 index, across every sector — banks, IT, energy, FMCG, autos, pharma and more. Live prices and a 1-day change are shown across the top ticker and on every card.

4. The Prediction — the core view

For a chosen stock and time window, you get four things:

- **Direction** — simply UP or DOWN.
- **Probability** — how sure it is, e.g. “58% chance up.” 50% means “no real opinion.”
- **Expected return** — the *size* of the move it expects, e.g. “+1.3% over 5 days.”
- **Signal strength** — weak / moderate / strong, i.e. how far the call is from a coin-flip.

Why direction and a rough % — not an exact target price

Calling an exact price (“Reliance will be 1,310 on Friday”) is close to impossible and a little dishonest. Calling whether a stock is more likely to drift up or down, and roughly how far, is both more honest and more useful for trading. You can always turn a % move into a price yourself.

5. Time horizons: 1 day, 5 days, 20 days

You can ask for a view over the **next day (1d)**, **next week (5d)**, or **next month (20d)**. The 1-day view is the noisiest; the 20-day view tends to be steadier. Pick the horizon that matches how you actually trade.

6. The Confidence Band & risk numbers — “how wrong could it be?”

A forecast without a risk range is useless. So every call comes with a **range**, not just a single number. Behind the scenes the platform plays out **thousands of possible futures** for the stock — deliberately including **sudden gaps and crashes**, the nasty moves that a neat bell-curve ignores — and reports:

- **A likely range** — e.g. “between –3% and +6% over the month.”
- **Value-at-Risk (VaR)** — a bad-but-not-worst-case loss; the kind of down move you'd see roughly **1 day in 20**.
- **Expected shortfall (CVaR)** — *if* it turns out to be one of those bad days, how bad on average. This is the “crash” number.

Together these tell you not just *where it might go* but *how much you could lose if it goes against you* — which is exactly what you need to size a position properly.

7. Market Regime — read the weather first

The platform constantly reads what **kind of market** we're in and labels it: **Bull** (calm, trending up), **Bear** (falling, fearful), **Sideways** (choppy, no trend), or **Crisis** (panic, everything moving together). The same signal means very different things in a calm market versus a panicky one — the regime is the weather report you check before reading any individual forecast.

8. Key Drivers — why it thinks so (no black box)

For every call, the platform lists the **top reasons** behind it. **Green** factors are pushing the stock up; **red** factors are pulling it down — longer bar, stronger influence. For example: “momentum and the sector trend are pushing it up; an overbought signal is pulling it down.”

This lets you **sanity-check** every call. If a software stock's bullish view is driven entirely by a crude-oil factor, you'll see that and can decide for yourself whether to trust it. Nothing is hidden.

9. Backtest — the test drive

This is the "would I have made money?" test. The backtest takes the platform's **past** calls on a stock and pretends you actually traded them through history — buying when it said up, sitting in cash otherwise — **after** realistic costs (brokerage, taxes, slippage). It then shows:

- **Hit rate** — how often the direction was right.
- **Annual return vs. buy-and-hold** — the key question: does following it beat just holding the stock and doing nothing?
- **Sharpe ratio** — return compared with how bumpy the ride was (higher = smoother, better quality).
- **Max drawdown** — the worst peak-to-trough dip you'd have had to stomach.
- **An equity curve** — your strategy's money line drawn against the buy-and-hold line.

It's the difference between *reading a car's specs* (the prediction) and *actually driving it* (the backtest). **Caveat:** a good backtest builds trust, but past results are never a promise about the future.

10. Long / Short Signals — the market-neutral board

This is a **ranked league table** of the whole universe: the stocks the platform likes most (**LONG**, at the top) versus the ones it likes least (**SHORT**, at the bottom), measured *relative to each other* on the same day.

The idea is classic **market-neutral** trading: buy the strongest names and sell/short the weakest, so you profit from the **gap between them** — whether the overall market goes up, down, or nowhere. Each name shows a **confidence** level so you can lean harder on the higher-conviction ones.

11. Portfolio Optimizer — how to split your money

Tell it which stocks you're considering and your **risk appetite**, and it suggests how much to put in each. It doesn't just chase the highest expected return — it also weighs **how risky each stock is** and **how they move together**, so you don't accidentally pile your whole book into one volatile name or one sector. A higher risk appetite chases return harder; a lower one plays defence.

12. A simple workflow

- **1. Check the regime** — what's the market weather today?
- **2. Scan the signals** — the dashboard and the long/short board, for the horizon you trade.
- **3. Open a name in Analysis** — read the direction, the confidence band & risk numbers, and the key drivers.
- **4. Validate with the Backtest** — has following this on this stock actually worked?
- **5. Size it in the Portfolio Optimizer** — decide how much to commit.

13. Honest limits — please read

- **This is research, not financial advice.** It's a tool to inform your judgement, not replace it.
- **The edge is modest, not magic.** Being right ~53–57% of the time is genuinely useful, but only with discipline, position sizing, and many trades — never one big bet.
- **Past performance is not the future.** Backtests build confidence; they don't guarantee anything.
- **It reads patterns, not headlines.** It does not know about breaking news, a surprise result, or a policy change until that shows up in price and data.
- **Always use risk limits.** The VaR / drawdown numbers are there precisely so you can size sensibly and protect your capital.

In one line: AlphaStock is a disciplined, transparent second opinion built from years of market history — it tells you where a stock may head, how confident it is, how much you could lose, and why — so you can make faster, better-informed decisions, with your own judgement firmly in charge.